In a simplistic notion of development, we have to combine capital and modern technology in order to achieve high productivity. This can readily lead to notions of high modernism. In the extreme, we may think of placing modern technology into government-owned monopolies, and using state coercion to force everyone to work with these monopolies. In the short run, this does give capital deepening and technical change. But this works out poorly in the medium term. We cannot be assured of benevolent and competent leaders in the public sector. We lose out on the energy of private innovation and competition. The economy loses flexibility and continuous adaptation when it is trapped by dominant state-controlled monopolies. And when we go down this route, we tend to revere and prioritize the big-prestige projects over the subtlety of institutions.

Many technologists slip into a different strain of high modernism, with an enthusiasm for designing state-run or state-imposed monopolies upon the economy. Deep knowledge of the humanities and social sciences is an antidote for this optimism. We are generally better off with multiple competing efforts, organic evolution of standards and technologies, and the minimal involvement of the state. A good model to look back upon is the rise of the Internet. While there was public funding in the research that built the Internet, there was no state coercion to encourage or force the use of Internet standards. If anything, the global telecom giants—many of whom were public sector companies—had put their shoulders behind a different standard (X.25), and they were wrong in their key design ideas.

A complex modern economy only works when it is a self-organizing system. It has to have the creative efforts of a large number of individuals, all working in their own self-interest. Central planning and a leadership role for the state do not work for a modern complex economy.

Building the republic, then, is about the policy institutions which shape the incentives of each person and help intermediate the interactions between individuals. Building these institutions is a slow and complex problem. In the short run, it is always possible to obtain GDP growth without solving these deeper problems. We would all do well to shift focus from the